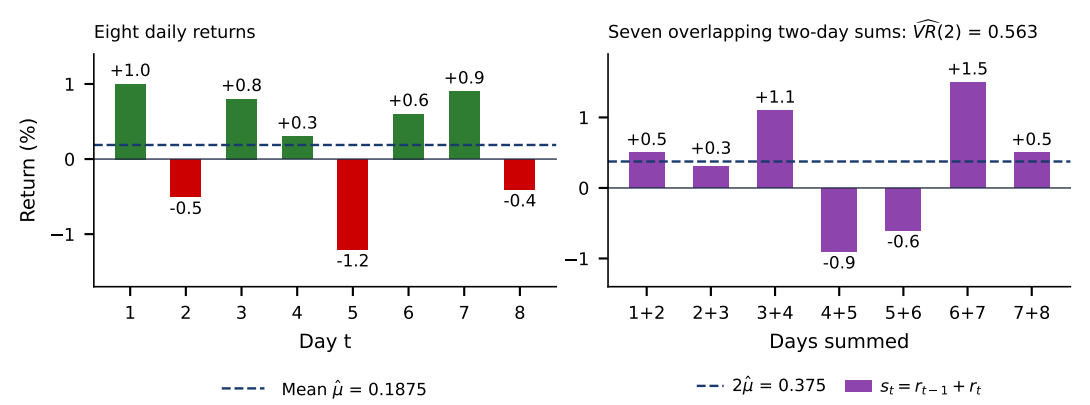
Eight daily returns
Return (%)
1
0
−1
+1.0
-0.5
+0.8
+0.3
-1.2
+0.6
+0.9
-0.4
1
2
3
4
5
6
7
8
Day t
Mean $\hat{\mu}$ = 0.1875
Seven overlapping two-day sums: $\widehat{VR}(2)$ = 0.563
1
0
−1
+0.5
+0.3
+1.1
-0.9
-0.6
+1.5
+0.5
1+2
2+3
3+4
4+5
5+6
6+7
7+8
Days summed
$2\hat{\mu}$ = 0.375
$s_t = r_{t-1} + r_t$